

PURCHASE MONEY MORTGAGE ADDENDUM
ADDENDUM # _____

THIS ADDENDUM IS PART OF THE AGREEMENT OF SALE DATED _____ BY AND BETWEEN
SELLER _____
BUYER _____
PROPERTY _____

The Seller agrees to hold a Purchase Money Mortgage for Buyer containing, but not limited to, the following terms and conditions:

1. The Buyer shall provide the Seller with a financial statement within _____ days after final ratification of this Agreement or the Seller may declare this contract in default and retain all deposits as liquidated damages. The Seller shall review the statement to verify to their satisfaction that the Buyer is in a financial position to support this Purchase Money Mortgage and confirm acceptance or refusal within five days of receipt of the Buyer's financial statement.
2. Principal amount of Purchase Money Mortgage to be held by Seller \$ _____.
Any remaining balance due after accounting for all deposits, the Purchase Money Mortgage, prorations, and seller's closing costs will be paid to seller at settlement.
3. The Purchase Money Mortgage shall be amortized on a _____ basis over a period of _____ years at an annual rate of interest of _____ percent. It is understood and agreed that the mortgage, as written, to be amortized over _____ years is a BALLOON MORTGAGE, in which the entire remaining principal balance shall become due in full _____ years from the date of the note or upon earlier sale or transfer of the Property.
4. Each payment, amortized on a _____ basis, shall be in the amount of \$ _____, which includes principal and interest, and shall be made in the names of and to the party or parties designated by the Seller.
5. The mortgage shall contain standard bank clauses and conditions, including, but not limited to, late charges, payment schedules, evidence of paid taxes and assessments, prepaid insurance policies naming the seller as an insured lender, terms of default, etc. A final draft shall be prepared by the settlement attorneys to the mutual satisfaction of all parties concerned, incorporating the terms written herein. When recorded, the mortgage shall be a first lien on the Property.
6. Both parties agree that the Buyer shall have the option to prepay the principal mortgage balance at any time without any prepayment penalty after _____. In the event prepayment is exercised by the Buyer, they shall notify the Seller of their intention by registered or certified mail, return receipt.
7. With exception of the heirs of the Buyer, this mortgage shall not be assumed by another party without the written permission of the Seller or their heirs.
8. Both Seller and Buyer have read and understand the attached amortization schedule, and it is made a part hereof.

Buyer	Date & Time
Buyer	Date & Time
Seller	Date & Time
Seller	Date & Time



RADON DISCLOSURE

**Required by Chapter 25, Title 6, Section 2572A of the
Delaware Code**

Property Address: _____

Seller's Disclosure

Delaware law requires that the seller of any interest in residential real property that includes a dwelling must provide the buyer with any information about any known radon. Sellers also must disclose any tests or inspections for radon in the seller's possession.

The seller(s) must answer the following questions and provide the required information:

1. Are you aware of the presence of radon in the property identified above?
☐ Yes ☐ No (circle one)
2. Are you aware of any radon tests or inspections that have been performed on the property identified above?
☐ Yes ☐ No (circle one)
3. If you responded "yes" to Question 2 above, have you provided the buyer(s) with copies of all radon tests and/or inspection reports in your possession? ☐ Yes ☐ No (circle one)
4. Identify each report referred to in Question 3, including the date of each report:

By signing this form, the seller(s) acknowledge(s) the following:

I/we have been informed of my/our obligation and am/are aware of my/our responsibility to comply with Delaware law regarding radon disclosure, as provided in Title 6, Chapter 25, Section 2572A of the Delaware Code.

Seller

Date

Seller

Date

Buyer's Acknowledgement

Delaware law requires that every buyer of any interest in residential real property that includes a dwelling must be notified that the property may present the potential for exposure to radon.

By signing this form, the buyer(s) acknowledge(s) the following:

1. I/we have received the *Radon Rights, Risks and Remedy for Home Buyer* document, which describes the potential hazards of exposure to radon, testing for radon and remediation.
2. I/we have the option to have the property identified above tested for radon.
3. I/we have received copies of all radon tests and/or inspection reports identified in Item 4 of the Seller's Disclosure above.

Buyer

Date

Buyer

Date



RADON Rights, Risks and Remedy for the Home Buyer

This information has been compiled by the Delaware Department of Health and Social Services' Division of Public Health (DPH) in conjunction with the Delaware Real Estate Commission to comply with Chapter 25, Title 6, Delaware Code §2572A - Radon Testing and Disclosure.

What are my rights regarding radon and purchasing a home? A buyer of a home in Delaware has the right to know if the property has been tested for radon and the results of that testing. This will be provided to you by a home seller on a Radon Testing and Disclosure form. The buyer also has the right to have the property tested for radon prior to settlement. The testing request can be added to an offer to purchase as a radon contingency.

What is radon? Radon is a radioactive gas. It is colorless, odorless, tasteless, and chemically inert. Unless a test is performed, there is no way to determine if and how much radon might be present in a home. It is formed by the natural radioactive decay of uranium in rock, soil, and water. Low levels of uranium occur widely in Earth's crust and can be found in all 50 states. Once produced, radon moves through the ground to the air above.

What health effects are associated with radon exposure? The Surgeon General has warned that radon is the second leading cause of lung cancer in the United States. There is currently no conclusive data on whether children are at greater risk than adults from radon. If you smoke and you are exposed to elevated radon levels, your risk of lung cancer is elevated further.

What is the "acceptable" level of radon in air? Since radon is a known human carcinogen, the U.S. Environmental Protection Agency (EPA) states that any radon exposure carries some risk. EPA recommends homes be fixed if an occupant's long-term exposure will average 4 picocuries per liter (pCi/l) or higher.

Why should I test my home for radon? Any home could have radon. Nearly one out of every 12 homes in Delaware has a radon level of 4 pCi/L or greater. The chances of elevated radon are greater in the northern half of the state and slightly lower in the southern half. The U.S. average radon-in-air level in single family homes is 1.3 pCi/L. Outdoor air that is drawn into a home can contribute to the indoor radon level. The average outdoor air level is about 0.4 pCi/L and higher in some areas. The way to know if your home, or the home you wish to purchase, has radon is to test.

What can be done to reduce radon in a home? There are several methods that a contractor can use to lower radon levels in your home. In most cases, simple systems using an underground pipe and an exhaust fan are used to reduce radon. Such systems called "sub-slab depressurization" do not require major changes to your home. These systems remove radon gas from below the home and vent it above the roof where it is quickly diluted. Similar systems can also be installed in houses with crawl spaces. Radon contractors use other methods that may also work in your home.

For additional information, visit the following websites:

Delaware Division of Public Health
Environmental Protection Agency
National Safety Council
World Health Organization
National Cancer Institute

www.dhss.delaware.gov/dhss/dph/hsp/healthyhomesradon.html
www.epa.gov/radon/
www.nsc.org/library/facts/radon/htm
www.who.int/mediacentre/factsheets/fs291/en/
www.cancer.org/cancertopics/factsheet/Risk/radon

Or you may contact the Delaware Division of Public Health, Health Systems Protection, Radon Program, located at 417 Federal Street, Dover, DE 19901; phone (302) 744-4546.